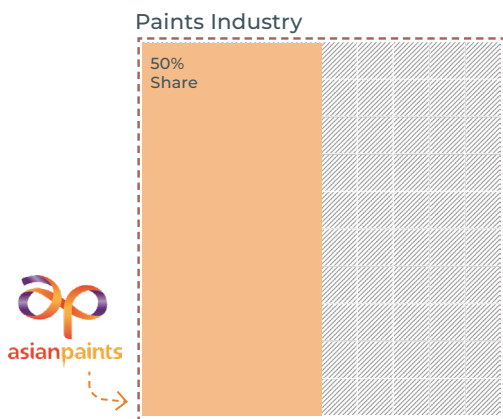


Market Size

It is important to understand how large the market that the company is catering to.

For example, when we look at the market size of the hair oil industry in India as of 2018, about Rs 8,000 crores with coconut oil having about 46% of it. At the same time, the size of the paint industry in India as of 2021 is Rs. 62,000 crores. At the same time, the size of the paint industry in India as of 2021 is Rs. 62,000 crores. At the same time, the passenger car market is about 32.7 billion USD as of 2022. As a result, car companies will be much bigger than paint companies which will be bigger than hair oil companies in size. This is what market size does. It explains how big a company can become.



If we take the paints industry, where already 50% of the market is held by Asian paints, for the company to grow the market has to grow. This puts restrictions on the company's growth. No company can become bigger than the industry.

For large companies, they can grow in two ways-

1. **Either the industry as a whole grows.**
2. **They enter new industries and new markets.**

Bigger the market size, bigger the company can become before it is forced to try new things.